FIRST-PASS DILIGENCE MEMO

Northfold

Company	Northfold (full legal name not disclosed) (p. 3)
Ticker / Status	Private; owned by its founders (p. 3)
Source document	Sale materials (document type not stated); indications of interest due April 30, 2026 (p. 10)
Fiscal period covered	Fiscal year ended December 31, 2025 (pp. 4, 8)
Memo generated	2026-11-05
Pages processed	10 of 10 PDF pages

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1. Executive Summary

- **Business in one sentence:** Northfold designs and manufactures compact electronic warfare (EW) and signals intelligence (SIGINT) sensors for the U.S. Army, U.S. Special Operations Command and allied customers (p. 3).
- **Scale:** FY2025 revenue was $201.4 million, operating income $30.9 million, and Adjusted EBITDA $39.8 million (p. 7).
- **Key positives:**
  - Revenue grew 18.4% in FY2024 and 19.2% in FY2025, while Adj. EBITDA margin rose from 16.9% to 19.8% over FY2023–FY2025 (calc.; p. 7).
  - Net leverage is low at 0.92x Adj. EBITDA, and the $45.0 million term loan will be repaid at closing (calc.; pp. 7, 8).
  - The company holds sole-source positions on two Army programs of record, and total backlog grew from $244.0 million to $295.0 million during FY2025 (pp. 3, 5).
- **Key concerns:**
  - The largest program, the Army's Tactical Spectrum Sensor, faces a recompete in fiscal 2028, and management's projections assume the company wins it (pp. 5, 9).
  - FY2025 Adj. EBITDA includes $2.5 million of pro forma cost savings from a facility consolidation that had not happened as of December 31, 2025 (p. 7).
  - Revenue is concentrated: the U.S. Army is 41% and the top five customers are 78% of FY2025 revenue (p. 5).
- **Biggest open question:** What share of revenue and backlog comes from the Tactical Spectrum Sensor program, and what is the evidence behind management's assumption of winning the fiscal 2028 recompete (pp. 5, 9)?

2. Business Overview

- **Segments:** The company reports two segments (p. 4).
  - Tactical EW Sensors were 61% of FY2025 revenue (p. 4).
  - Strategic SIGINT Receivers were 39% of FY2025 revenue (p. 4).
  - Segment profitability and prior-year segment mix: Not disclosed. (p. 4)
- **Business model:** The company designs and manufactures sensors, a product model, and sells under government contract vehicles (pp. 3, 5).

  - FY2025 contract mix was 65% firm-fixed-price, 28% cost-plus and 7% time-and-materials (p. 5).
  - Management attributes FY2025 growth to higher production volumes on the Tactical Spectrum Sensor program (p. 7).
  - Recurring vs. project revenue split: Not disclosed. (pp. 3, 5)
- **Geographic footprint:** Headquarters and manufacturing are in a 120,000 square foot leased facility in Huntsville, Alabama (pp. 3, 4).
- **End markets:** Customers are the U.S. Army, U.S. Special Operations Command and allied customers (p. 3).
  - International / allied share of revenue: Not disclosed. (p. 3)
- **Headcount:** The company employs 410 people (p. 4).
  - 254 employees, or 62%, hold active security clearances (pp. 3, 4).
  - Revenue per employee was $0.49 million in FY2025 (calc.; pp. 4, 7).
- **Ownership / history:** Founded in 2009 and privately owned by its founders (p. 3).
  - The shareholders are exploring a sale of 100% of the company, with no asking price stated (p. 10).
  - The findings disclose no acquisitions, so reported growth appears organic. Organic growth is not separately disclosed. (p. 3)

3. Market & Competitive Position

- **Market size (management's estimate):** The addressable market for tactical EW and SIGINT sensors was $4.2 billion in 2025 (p. 6).
  - Management expects that market to grow 7% per year (p. 6).
  - The company's revenue growth in FY2024–FY2025 exceeded the estimated market growth rate (calc.; pp. 6, 7).
- **Competitors:** Principal competitors are described as larger defense primes and several venture-backed entrants (p. 6).
  - Specific named competitors: Not disclosed. (p. 6)
- **Stated competitive advantages (management's view):** Management describes its two Army programs of record as mission-critical and sole-source (p. 3).
  - Management cites a cleared workforce, with 62% of employees holding active clearances (p. 3).
- **Regulatory or policy exposure** (e.g. budget, export controls / ITAR on allied sales, CMMC): Not disclosed.

4. Customers, Contracts & Backlog

- **Customer concentration:**
  - Largest customer: the U.S. Army was 41% of FY2025 revenue (p. 5).
  - Top five customers were 78% of FY2025 revenue (p. 5).
  - Top-10 concentration and prior-year concentration: Not disclosed.
- **Government exposure:**
  - Northfold is prime contractor on 58% of revenue and subcontractor on 42% (p. 5).
  - Total U.S. government share of revenue and DoD vs. civil split: Not disclosed.
- **Contract type mix (FY2025):** 65% firm-fixed-price, 28% cost-plus and 7% time-and-materials (p. 5).
  - Most revenue is fixed-price, which exposes margins to cost overruns (p. 5).
- **Backlog:**
  - Funded backlog rose from $148.0 million at December 31, 2024 to $176.0 million at December 31, 2025 (p. 5).

- Unfunded backlog rose from $96.0 million to $119.0 million over the same period (p. 5).
- Total backlog rose from $244.0 million to $295.0 million (p. 5).
- Funded backlog covers 0.87x FY2025 revenue, and total backlog covers 1.46x (calc.; pp. 5, 7).
- Funded coverage was 0.88x a year earlier, so funded backlog has not grown faster than revenue (calc.; pp. 5, 7).
- The narrative cites backlog of $310.0 million at December 31, 2025, which differs from the $295.0 million total backlog figure (pp. 3, 5).
- Book-to-bill: Not disclosed.

- **Key contracts / recompetes:**
  - The largest program, the Army's Tactical Spectrum Sensor, faces a recompete expected in fiscal 2028 (p. 5).
  - Management's projections assume the recompete is won (p. 9).
  - The program's share of revenue and backlog: Not disclosed.
  - Other material contract expirations and any bid protests: Not disclosed.

5. Financial Summary

Financial summary

Metric ($ in millions)	FY2023	FY2024	FY2025
Revenue	142.6 (p. 7) †	168.9 (p. 7) †	201.4 (p. 7) ✓
Revenue growth % (calc.)	*n/a*	*18.4% (calc.; p. 7)*	*19.2% (calc.; p. 7)*
Gross profit	44.2 (p. 7) †	53.2 (p. 7) †	64.5 (p. 7) †
Gross margin % (calc.)	*31.0% (calc.; p. 7)*	*31.5% (calc.; p. 7)*	*32.0% (calc.; p. 7)*
Operating income (loss)	17.9 (p. 7) †	23.8 (p. 7) †	30.9 (p. 7) †
EBITDA (as reported by company)	Not disclosed	Not disclosed	Not disclosed
Adjusted EBITDA (as reported by company)	24.1 (p. 7) †	31.5 (p. 7) †	39.8 (p. 7) ✓
D&A	3.6 (p. 7) †	4.1 (p. 7) †	4.7 (p. 7) †
Capex	4.2 (p. 8) †	5.0 (p. 8) †	6.1 (p. 8) †
Capex % of revenue (calc.)	*2.9% (calc.; pp. 7, 8)*	*3.0% (calc.; pp. 7, 8)*	*3.0% (calc.; pp. 7, 8)*
Backlog (total)	Not disclosed	244.0 (p. 5) †	295.0 (p. 5) †
Largest customer % of revenue	Not disclosed	Not disclosed	41.0% (p. 5) †

Cash conversion & earnings quality

Metric ($ in millions)	FY2023	FY2024	FY2025
Operating cash flow	14.9 (p. 8) †	19.6 (p. 8) †	24.3 (p. 8) †
Free cash flow (OCF - capex) (calc.)	*10.7 (calc.; p. 8)*	*14.6 (calc.; p. 8)*	*18.2 (calc.; p. 8)*
FCF / Adj. EBITDA (calc.)	*44.4% (calc.; pp. 7, 8)*	*46.3% (calc.; pp. 7, 8)*	*45.7% (calc.; pp. 7, 8)*
GAAP EBITDA (op. income + D&A) (calc.)	*21.5 (calc.; p. 7)*	*27.9 (calc.; p. 7)*	*35.6 (calc.; p. 7)*
Add-backs to reach Adj. EBITDA (calc.)	*2.6 (calc.; p. 7)*	*3.6 (calc.; p. 7)*	*4.2 (calc.; p. 7)*
DSO incl. unbilled, days (calc.)	*n/a*	*78 (calc.; pp. 7, 8)*	*79 (calc.; pp. 7, 8)*
DIO, days (calc.)	*n/a*	*-27 (calc.; pp. 7, 8)*	*-26 (calc.; pp. 7, 8)*

Balance sheet & liquidity (fiscal year end)

Metric ($ in millions)	FY2023	FY2024	FY2025
Total debt (principal)	Not disclosed	52.0 (p. 8) †	45.0 (p. 8) †
Cash + short-term investments (calc.)	*n/a*	*6.1 (calc.; p. 8)*	*8.4 (calc.; p. 8)*
Net debt (calc.)	*n/a*	*45.9 (calc.; p. 8)*	*36.6 (calc.; p. 8)*
Total debt / Adj. EBITDA (calc.)	*n/a*	*1.65x (calc.; pp. 7, 8)*	*1.13x (calc.; pp. 7, 8)*
Net debt / Adj. EBITDA (calc.)	*n/a*	*1.46x (calc.; pp. 7, 8)*	*0.92x (calc.; pp. 7, 8)*
Liquidity incl. undrawn revolver (calc.)	*n/a*	*n/a*	*33.4 (calc.; p. 8)*

Operating metrics

Metric ($ in millions, ratios as noted)	FY2023	FY2024	FY2025
Funded backlog / revenue (calc.)	*n/a*	*0.88x (calc.; pp. 5, 7)*	*0.87x (calc.; pp. 5, 7)*
Total backlog / revenue (calc.)	*n/a*	*1.44x (calc.; pp. 5, 7)*	*1.46x (calc.; pp. 5, 7)*
Revenue per employee, $M (calc.)	*n/a*	*n/a*	*$0.49 (calc.; pp. 4, 7)*

Table notes

- Cross-check: 2 of 43 sourced inputs match the same figure for the same year on at least one other page (✓). † = found on one page only; verify manually.
- Every (calc.) figure is computed by code from the cited inputs; formulas are listed in calcs.json.
- Method: Add-backs = company Adjusted EBITDA minus GAAP EBITDA (operating income + D&A). If the company's measure is segment-level, add-backs also include costs outside segment results (e.g. unallocated corporate).
- Method: No short-term investments found for FY2024; net debt uses cash only.
- Method: No short-term investments found for FY2025; net debt uses cash only.
- Method: Total debt is principal as disclosed (excludes leases; convertible notes at principal).
- Method: Working-capital days use fiscal-year-end balances, not averages; balances acquired mid-year inflate days relative to a full-year average.
- ⚠ Employees FY2025: F01-012 is dated 'n/a', not FY2025.
- Adjusted EBITDA is as presented by the Company; no definition or reconciliation is provided in the findings, and no reported (unadjusted) EBITDA is disclosed. (p. 7)
- Total debt consists solely of the term loan ($52.0 million at December 31, 2024; $45.0 million at December 31, 2025), which will be repaid at the closing of a transaction. (p. 8)
- The $25.0 million revolving credit facility was undrawn at December 31, 2025. (p. 8)
- Contract mix is disclosed only as percentages of fiscal 2025 revenue: firm-fixed-price 65%, cost-plus 28%, time-and-materials 7%; dollar amounts by contract type are not disclosed. (p. 5)
- Largest customer is the U.S. Army at 41% of fiscal 2025 revenue; top five customers were 78%. (p. 5)
- Segments (Tactical EW Sensors 61%, Strategic SIGINT Receivers 39% of fiscal 2025 revenue) are disclosed only as revenue shares, with no segment dollar revenue or profit. (p. 4)
- Employee count of 410 is stated without a specific date and is shown in the FY2025 column. (p. 4)

Commentary

- Revenue rose each year from $142.6 million in FY2023 to $168.9 million in FY2024 and $201.4 million in FY2025 (p. 7).
- Gross profit grew faster than revenue, and management reports a FY2025 gross margin of 32.0% (p. 7).
- SG&A grew more slowly than revenue (from $29.4 million in FY2024 to $33.6 million in FY2025), which drove operating leverage (p. 7).
- Management add-backs rose each year, from $2.6 million to $3.6 million to $4.2 million, so Adjusted EBITDA grew faster than operating income plus D&A (p. 7).

- Capital expenditures were modest, at $4.2 million, $5.0 million and $6.1 million in FY2023–FY2025, but management projects capex rising to $12.3 million by FY2030 (pp. 8, 9).

6. Quality of Earnings Flags

- **Adjusted EBITDA definition:** The company's formal definition is Not disclosed.
  - The numbers reconcile as operating income plus D&A plus management add-backs: GAAP EBITDA of $35.6 million plus $4.2 million of add-backs equals $39.8 million in FY2025 (calc.; p. 7).
- **FY2025 add-backs ($4.2 million total)** (p. 7):
  - **Pro forma cost savings of $2.5 million**, the largest component, are from a planned facility consolidation that had not occurred as of December 31, 2025 (p. 7).
    - This is an unrealized, forward-looking adjustment. (p. 7)
    - The findings disclose only a single leased facility in Huntsville, so the scope of the consolidation is unclear (p. 4).
  - **Founder compensation normalization of $1.1 million** (p. 7).
    - A buyer will need to confirm the cost of replacement management after a 100% sale by the founders (p. 10).
  - **One-time legal expense of $0.6 million** (p. 7).
    - The nature of the matter and whether it could recur: Not disclosed. (p. 7)
- **Prior-year add-backs:** Components of the $2.6 million (FY2023) and $3.6 million (FY2024) add-backs are Not disclosed (p. 7).
- **Reported vs. calculated margin:** Management states Adj. EBITDA margin of 20.1% in fiscal 2025, but reported Adj. EBITDA divided by revenue gives 19.8% (calc.; pp. 3, 7).
- **Cash conversion:** FCF / Adj. EBITDA was 44.4%, 46.3% and 45.7% in FY2023–FY2025, so less than half of Adjusted EBITDA converts to free cash flow (calc.; pp. 7, 8).
  - FY2025 free cash flow was $18.2 million on operating cash flow of $24.3 million (calc.; p. 8).
- **Tax structure:** The company is taxed as an S corporation, and cash taxes reflect state taxes only ($1.2 million in FY2025) (p. 8).
  - Historical after-tax cash flow may not represent the business under a different ownership structure (p. 8).
- **One-time / non-recurring items:** No items beyond the add-backs above are disclosed. Impairments: Not disclosed.
- **Revenue recognition** (over-time vs. point-in-time, EAC methodology, cumulative catch-ups): Not disclosed.
  - This matters given 65% firm-fixed-price revenue and $12.5 million of unbilled receivables (pp. 5, 8).
- **Working capital:**
  - Accounts receivable rose from $26.0 million to $31.2 million (p. 8).
  - Unbilled receivables rose from $10.1 million to $12.5 million (p. 8).
  - DSO including unbilled was broadly stable at 78 days in FY2024 and 79 days in FY2025 (calc.; pp. 7, 8).
  - Inventories rose from $8.7 million to $9.8 million (p. 8).
  - Customer advances rose from $2.4 million to $3.1 million (p. 8).
- **Auditor and material weaknesses:** Not disclosed.

7. Key Risks

1. **Tactical Spectrum Sensor recompete:** The largest program faces a recompete expected in fiscal 2028 (p. 5).
   - Projections assume a win, so a loss would undermine both the growth case and the FY2030 targets of $409.0 million revenue and $96.3 million Adj. EBITDA (p. 9).

2. **Customer and program concentration:** The U.S. Army is 41% and the top five customers are 78% of FY2025 revenue (p. 5).
   - FY2025 growth was driven by Tactical Spectrum Sensor production volumes, which concentrates exposure on a single program (p. 7).
3. **Adjusted EBITDA quality:** $2.5 million of FY2025 Adj. EBITDA is pro forma savings from a facility consolidation not yet executed (p. 7).
   - Any valuation multiple applied to $39.8 million would include benefits that have not been achieved (p. 7).
4. **Projection achievability:** Projections assume a continued production ramp, two new allied customers beginning in fiscal 2027, and margin expansion to 23.5% by fiscal 2030 (p. 9).
   - This compares with an FY2025 Adj. EBITDA margin of 19.8% (calc.; p. 7).
   - The FY2026 projection of $238.0 million revenue and $50.0 million Adj. EBITDA is the first near-term test (p. 9).
5. **Cash conversion:** FCF has been below half of Adjusted EBITDA in each of the last three years, and management projects capex rising to $12.3 million by FY2030 (calc.; pp. 7, 8, 9).
6. **Fixed-price execution:** Firm-fixed-price contracts are 65% of revenue, so cost overruns on production programs would fall directly on margins (p. 5).
7. **Founder transition:** The founders own the company and are exploring a 100% sale (pp. 3, 10).
   - The $1.1 million founder compensation normalization add-back assumes post-close management costs that have not been validated (p. 7).
8. **Single-site operations:** All manufacturing takes place in one leased facility in Huntsville, Alabama (p. 4).
   - A disruption there would affect the entire business. (p. 4)
   - Lease terms are not disclosed. (p. 4)

8. Consistency Check

Narrative claim	Cite	What the numbers show	Cite	Flag
Management cites backlog of $310.0 million at December 31, 2025 and says it provides multi-year revenue visibility.	(p. 3)	The backlog table shows total backlog of $295.0 million at December 31, 2025: $176.0 million funded plus $119.0 million unfunded.	(p. 5)	**Inconsistent.** The headline backlog is overstated against the company's own backlog disclosure. No reconciling item, such as options or IDIQ ceiling value, is identified to bridge $295.0 million to $310.0 million. Backlog is a core valuation input for a defense contractor.
Adjusted EBITDA margin is described as having expanded to 20.1% in fiscal 2025.	(p. 3)	Adjusted EBITDA of $39.8 million on revenue of $201.4 million gives a calculated margin of 19.8%, up from 18.7% in FY2024.	(calc.; pp. 3, 7)	**Inconsistent.** The direction (expansion) is supported. However, the stated 20.1% cannot be reproduced from the reported Adjusted EBITDA and revenue, and the gap is not a rounding difference. Either the margin or one of its inputs is misstated.
FY2025 Adjusted EBITDA is presented as an actual figure. Its add-backs include founder compensation normalization ($1.1 million), 'one-time' legal expense ($0.6 million) and $2.5 million of pro forma cost savings from a facility consolidation that had not occurred as of December 31, 2025.	(p. 7)	Add-backs have risen every year: $2.6 million in FY2023, $3.6 million in FY2024 and $4.2 million in FY2025. The FY2025 total supports the $39.8 million Adjusted EBITDA.	(calc.; p. 7)	**Needs explanation.** Most of the FY2025 add-back ($2.5 million of the $4.2 million) is unrealized, forward-looking savings from an event that has not happened. Adjustments have also grown each year. This weakens the 'actual' Adjusted EBITDA base and the reported margin expansion.

Narrative claim	Cite	What the numbers show	Cite	Flag
Positions on two Army programs of record are characterized as mission-critical and sole-source.	(pp. 3, 5, 9)	The company holds two sole-source programs. The largest program faces a recompete expected in fiscal 2028. The U.S. Army is 41% of revenue and the top five customers are 78%.	(pp. 3, 5)	**Needs explanation.** The 'sole-source' framing understates the disclosed recompete on the largest program. Combined with high customer concentration, that recompete is a binary risk to the projections. Management assumes a win rather than presenting a downside case.
FY2025 add-backs include $2.5 million of pro forma cost savings from a planned facility consolidation, yet the business description says manufacturing takes place in a single 120,000 square foot leased facility in Huntsville.	(pp. 4, 7)	Total FY2025 add-backs are $4.2 million, so the $2.5 million consolidation saving is the largest single component. Projected FY2026 capex is $7.1 million, against $6.1 million in FY2025, and no consolidation cost or one-time cash outlay is identified anywhere in the projections.	(calc.; pp. 7, 8, 9)	**Needs explanation.** The document describes only one manufacturing facility, so it is unclear what is being consolidated or where $2.5 million of savings would come from. The cost to achieve those savings, such as lease exit, relocation or capex, is also not shown. Management should identify the facilities involved, the cost to achieve, and whether the savings are already embedded in the FY2026 projections, which would mean they are counted twice.
Adjusted EBITDA margin will expand to 23.5% by fiscal 2030 from operating leverage.	(pp. 7, 9)	There is real historical operating leverage. Operating margin rose from 12.6% to 14.1% to 15.3% over FY2023-FY2025, and SG&A grew from $29.4 million to $33.6 million while revenue grew 19.2%. However, the calculated FY2025 Adj. EBITDA margin is 19.8%, and that base includes $2.5 million of unrealized cost savings. The FY2030 target is $96.3 million of Adj. EBITDA on $409.0 million of revenue.	(calc.; pp. 7, 9)	**Needs explanation.** The operating-leverage direction is supported. But the margin path to 23.5% starts from a 19.8% base that is itself inflated by pro forma savings that had not occurred. Part of the claimed expansion may therefore come from add-backs rather than leverage. Diligence should rebuild the bridge from GAAP EBITDA.
The addressable market is growing at 7% per year. Projections rest on a continued Tactical Spectrum Sensor ramp, two new allied customers starting in fiscal 2027, and winning the Tactical Spectrum Sensor recompete in FY2028.	(pp. 6, 9)	Revenue is projected to rise from $201.4 million in FY2025 to $238.0 million in FY2026 and $409.0 million in FY2030. Historical growth was 18.4% in FY2024 and 19.2% in FY2025, well above the 7% market growth.	(calc.; pp. 7, 9)	**Needs explanation.** Sustaining growth far above market growth through FY2030 implies continuous share gains. Those gains depend on unbooked new customers and a binary recompete outcome. The plan should be split into market growth, the existing program ramp, and new-win contributions, with a downside case that excludes the new wins.
The company is an S corporation, and the $25.0 million revolver was undrawn at December 31, 2025, which implies a clean cash position.	(p. 8)	FY2025 free cash flow was $18.2 million. The term loan fell from $52.0 million to $45.0 million, and cash rose only from $6.1 million to $8.4 million. A material portion of free cash flow is not accounted for by debt paydown or the cash build.	(calc.; p. 8)	**Needs explanation.** The cash not explained by debt paydown or the cash build likely went to S-corporation shareholder distributions, or to other financing uses that are not disclosed. Distributions affect how normalized cash generation should be read and how much cash will be left at closing. A financing cash flow schedule should be requested.
Revenue grew 19.2% in fiscal 2025.	(p. 7)	Calculated revenue growth is 19.2%, from $168.9 million to $201.4 million.	(calc.; p. 7)	**Consistent.** The stated growth rate ties to the income statement. The attribution to Tactical Spectrum Sensor volumes cannot be verified because no program-level revenue is provided.

Narrative claim	Cite	What the numbers show	Cite	Flag
Gross margin was 32.0% in fiscal 2025.	(p. 7)	Gross profit of $64.5 million on revenue of $201.4 million gives a calculated gross margin of 32.0%.	(calc.; p. 7)	**Consistent.** The stated gross margin ties to the reported figures.
Firm-fixed-price, cost-plus and time-and-materials contracts represented 65%, 28% and 7% of fiscal 2025 revenue.	(p. 5)	The customer section shows the same contract mix of 65% firm-fixed-price, 28% cost-plus and 7% time-and-materials.	(p. 5)	**Consistent.** The contract mix agrees between the narrative and the customer data. Note that the high firm-fixed-price share puts cost-overrun risk on Northfold, which matters for the margin-expansion assumptions.
The $25.0 million revolving credit facility was undrawn at December 31, 2025.	(p. 8)	The balance sheet confirms a $25.0 million undrawn revolver. Total liquidity including cash is $33.4 million. Net leverage is 0.92x, and the $45.0 million term loan is repaid at closing.	(calc.; pp. 7, 8)	**Consistent.** The liquidity and debt statements agree with the balance sheet, and leverage is modest.

9. Questions for Management

Financial

1. Provide the formal Adjusted EBITDA definition and a full add-back bridge for FY2023 and FY2024, which total $2.6 million and $3.6 million but are not itemized (p. 7).
2. Describe the planned facility consolidation behind the $2.5 million of pro forma savings: which facilities are involved, the timing, one-time costs, and the status as of today (pp. 4, 7).
3. Reconcile the stated 20.1% FY2025 Adj. EBITDA margin with $39.8 million of Adj. EBITDA on $201.4 million of revenue (pp. 3, 7).
4. What was the nature of the $0.6 million one-time legal expense, and is the underlying matter resolved (p. 7)?
5. How was the $1.1 million founder compensation normalization derived, and what is the expected cost of post-close management (p. 7)?
6. Who audits the financial statements, are FY2023–FY2025 audited, and have any material weaknesses or significant deficiencies been identified? (Auditor and controls not disclosed.)
7. Describe the revenue recognition policy: over-time vs. point-in-time, the EAC review process, and the size of cumulative catch-up adjustments in each year. (Not disclosed.)
8. What drives FCF conversion below half of Adjusted EBITDA, and what is the outlook for unbilled receivables, which rose to $12.5 million (calc.; pp. 7, 8)?
9. What would cash taxes have been under C-corporation status, given cash taxes currently reflect state taxes only (p. 8)?
10. Provide segment-level revenue history and profitability for Tactical EW Sensors and Strategic SIGINT Receivers. (Segment margins not disclosed.)
11. Bridge FY2025 actuals to FY2026 projections of $238.0 million revenue and $50.0 million Adj. EBITDA by program and customer (p. 9).

Customers & Contracts

12. What share of FY2025 revenue and of December 31, 2025 backlog relates to the Tactical Spectrum Sensor program (p. 5)?
13. What is the recompete strategy and expected competitive field for the fiscal 2028 Tactical Spectrum Sensor recompete, and what do projections look like if it is lost (pp. 5, 9)?

14. Reconcile the $310.0 million backlog cited in the narrative with the $295.0 million total backlog at December 31, 2025 (pp. 3, 5).
15. Provide book-to-bill by year and the expected conversion timing of the $119.0 million of unfunded backlog (p. 5). (Book-to-bill not disclosed.)
16. Provide top-10 customer concentration and customer concentration for FY2023 and FY2024. (Not disclosed.)
17. What is total U.S. government revenue, split between DoD, other agencies, and allied / foreign customers? (Not disclosed.)
18. Who are the two new allied customers assumed to begin in fiscal 2027, and what is the status of those pursuits (p. 9)?
19. List material contracts with periods of performance, expirations, option exercises, and any pending or past bid protests. (Not disclosed.)
20. Who are the prime contractors on the 42% of revenue where Northfold is a subcontractor, and how concentrated is that exposure (p. 5)?

Operations

21. What cost actions and mix shifts drive projected Adj. EBITDA margin expansion to 23.5% by fiscal 2030 (p. 9)?
22. Break down projected capex, which rises from $7.1 million in FY2026 to $12.3 million in FY2030, between capacity expansion and maintenance (p. 9).
23. What are the lease terms, including remaining term and renewal options, for the 120,000 square foot Huntsville facility (p. 4)?
24. Which key personnel, including the founders, are expected to stay post-close, and what retention arrangements exist (pp. 3, 10)?

Other

25. Name the specific primes and venture-backed entrants Northfold competes against on its key programs (p. 6).
26. What regulatory exposures apply (ITAR / export controls on allied sales, CMMC status, facility clearance levels)? (Not disclosed.)
27. What is the basis for management's $4.2 billion addressable market estimate and its 7% annual growth rate (p. 6)?

APPENDIX: COVERAGE NOTES

- Citations use printed page numbers (PDF page = printed page + 0).
- No reliable printed number on PDF pages [1]; those are cited as 'PDF n'.
- MD&A no MD&A heading found; narrative pass covers the whole document.
- 10 of 10 PDF pages had extractable text and were analyzed.
- 133 findings verified against the source; 1 rejected (quote or number not found on the cited page). See rejected.json.
- 5 memo lines deleted by the citation check (no valid citation or unsupported number). See citation_log.md.